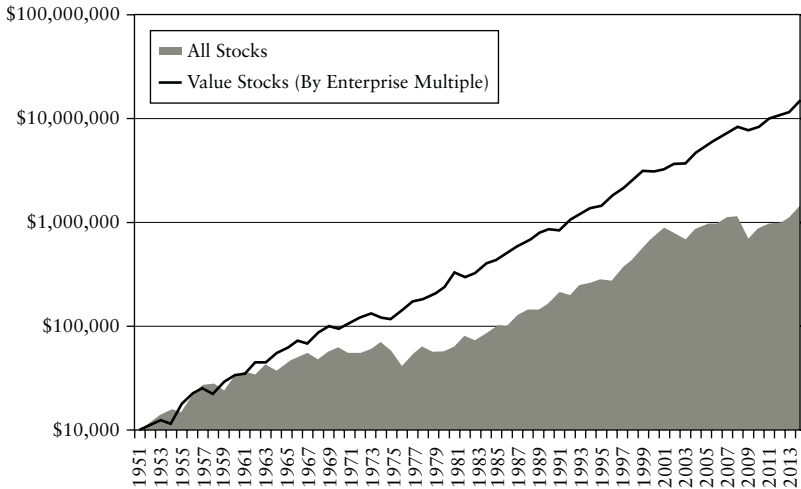




**FIGURE 10.2** Performance of Value Stocks (by Enterprise Multiple) and All Stocks, Market Capitalization Weight (1951 to 2013)

Figure 10.2 demonstrates that the decile portfolios of value stocks substantially and consistently outperformed the comparably weighted All Stocks universe from which they were drawn. The portfolios of value stocks returned a compound annual growth rate of 12.50 percent annually over the full period, versus 8.36 percent for All Stocks. For context, this turns \$10,000 in the value portfolios into \$14.9 million over 63 years, versus \$1.45 million invested in All Stocks.

The All Stocks portfolio, which stands in here for the market and represents the investable universe for the simulator, contains a large number of stocks. As at December 31, 2012, the last portfolio formed, the All Stocks universe contained approximately 1,140 stocks. This means that the portfolio formed from the value decile contained more than 100 stocks, which is too many for most investors. We want to find the stocks in the value decile that will perform best and avoid the ones that underperform. As we reduce the size of the portfolio, we run a risk that the performance of any given stock has a greater influence on the overall performance of the portfolio, whether it be good or bad. For the purposes of this examination, we'll simply divide the value portfolio into two halves of slightly fewer than 60 stocks to compare performance. While these are still very large portfolios—too large for most individual investors—they demonstrate the utility of a metric and no single stock will overly influence the results.